whom have adequate incentive to undertake the expenditure of litigation. This collective action problem is solved using ‘class action litigation’ through which a group of people are organized to demand damages. This pathway breaks down when the courts do not work or when class action lawsuits are infeasible.

This vision of enforcement relies on the aggrieved person taking recourse to courts. It involves *private enforcement* of law. As an example, if a person or a group of persons were adversely affected by securities fraud, *they* would gather evidence and sue.

In this book, we have emphasized the power of private negotiation, as envisioned by Ronald Coase, for arriving at private solutions to many externality problems. These private solutions can flourish when, and only when, the courts are swift and competent. Otherwise, these contracts are not enforceable and the Coasean approach to addressing certain market failure is infeasible.

In this perspective, a great deal of market failure can be addressed through contracts, torts, class action lawsuits and private enforcement. Looking back into Indian history, this pathway was ruled out when, after Independence, there were difficulties in judiciary.

Example 31: SEBI’s monopoly on enforcing securities law

Consider the establishment of SEBI, during 1988–92. In the early drafting of the SEBI Act, it was felt that if private persons could sue, on the grounds of violation of securities law, there was a greater risk of harassment. Therefore, the SEBI Act, unlike the US Securities Act, prohibits private persons from suing for violations of securities law. Only SEBI has the right to initiate such actions. Victims of securities law violations do not have this right.